

RESERVE BANK OF INDIA

FINANCIAL INCLUSION AND DEVELOPMENT DEPARTMENT, MUMBAI

RBI/2024-25/140 FIDD.CO.Plan.BC.5/04.09.01/2024-25

September 25, 2024

Master Direction - Priority Sector Lending (PSL) Targets and Classification

1. Overall PSL Target: Domestic commercial banks (excluding Regional Rural Banks and Small Finance Banks) and foreign banks with branches and above shall achieve an overall Priority Sector Lending target of 40 percent of Adjusted Net Bank Credit (ANBC) or Equivalent Amount of Off-Balance Sheet Exposure (CEOBE), whichever is higher.
2. Agriculture Sub-target: Within the overall PSL target, a sub-target of 18 percent of ANBC or CEOBE is mandated for Agriculture. Out of the 18 percent allocated to agriculture, a sub-target of 10 percent of ANBC is specifically earmarked for Small and Marginal Farmers (SMFs).
3. Micro Enterprises Target: A sub-target of 7.5 percent of ANBC or CEOBE is prescribed for advances to Micro Enterprises under the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006.

4. Weaker Sections Sub-target: The target for advances to Weaker Sections is set at 12 percent of ANBC or CEOBE. Beneficiaries classified under Weaker Sections include small and marginal farmers, artisans, Scheduled Castes and Scheduled women borrowers up to rupees one lakh, and beneficiaries of Differential Rate of Interest (DRI) schemes.
5. Foreign Banks with Less Than 20 Branches: Foreign banks with less than 20 branches have an overall Priority Sector Lending of 40 percent of ANBC or CEOBE, with no specific sub-targets for agriculture or micro enterprises, provided that not less than 3 is in the form of export credit.
6. Shortfall Penalty: Banks having any shortfall in achievement of PSL targets shall be required to contribute to the Rural Infrastructure Development Fund (RIDF) established with NABARD or other designated funds as decided by the Reserve Bank.

7. Clean Energy and Renewable Projects: Bank loans up to a limit of rupees thirty crore (INR 30,00,00,000) to borrowers for solar-based power generators, biomass power plants, wind mills, and micro-hydel plants are eligible for classification under Priority Sector Lending. For individual households, the loan limit is rupees ten lakh per borrower.
8. Social Infrastructure Limits: Bank loans up to a limit of rupees five crore (INR 5,00,00,000) per borrower for setting up schools, drinking water facilities, and sanitation facilities in Tier II to Tier VI centres are classified under PSL.
9. Housing Loan Limits: Loans to individuals up to rupees thirty-five lakh in metropolitan centres (population 10 lakh and above) up to rupees twenty-five lakh in other centres are eligible for PSL classification, provided dwelling unit costs do not exceed prescribed limits.

10. Priority Sector Lending Certificates (PSLCs): Banks may purchase or sell PSLCs to manage PSL target shortfalls or surplus across four categories: PSLC Agriculture, PSLC Small and Marginal Farmer, PSLC Micro Enterprises, and PSLC General.

11. Trading on e-Kuber: PSLC transactions are settled electronically through the Reserve Bank's e-Kuber portal without transfer of risk or loan assets.

12. Monitoring Frequency: PSL compliance is monitored on a quarterly basis based on the average of achievements across four quarters of the financial year.

Yours faithfully,

(G. S. Rawat)

Chief General Manager